

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

USL AUTO EXPORTING INC., *Complainant*

v.

EASY SHIPPING CORPORATION, *Respondent*.

DOCKET NO. 23-13

Served: April 16, 2025

ORDER OF: Mary A. HERVEY, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION AND BACKGROUND

On December 4, 2023, the Commission issued a Notice of Filing of Complaint and Assignment stating that USL Auto Exporting Inc. (“USL”) commenced this proceeding against Easy Shipping Corporation (“Easy Shipping”) pursuant to section 11 of the Shipping Act of 1984, as amended, 46 U.S.C. § 40101 *et seq.*, alleging that it violated 46 U.S.C. § 41102(c) regarding a failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering property arising from: a misdeclaration in the shipping instructions; a failure to file a declaration for a returned container; and a failure to pay assessed fees. In addition, USL’s complaint alleged a violation of 46 U.S.C. § 41104(a)(3). For the reasons set forth below, Easy Shipping is found not to have violated the Shipping Act and is not liable for reparations.

A. Procedural History

On December 4, 2023, the complaint was received by the Commission. On the same date, the Commission issued a notice of filing of complaint and assignment. On December 23, 2023, Respondent filed a Response for Memorandum of Facts.² On December 26, 2023, Complainant

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

² Easy Shipping failed to file an answer in accordance with 46 C.F.R. § 502.62(b)(2), which requires, *inter alia*, the answer to be verified and to include a “specific admission, denial, or explanation of the facts alleged in the complaint, or, if respondent is without knowledge, a statement to that effect.” Rather, on December 23, 2023, Easy Shipping filed an unverified Response for Memorandum of Facts identifying the parties, setting forth twenty-one factual allegations, and containing a summary of events and request for relief. As Judge Chintella, who was originally assigned to handle this proceeding, appears to have concluded in the March 18, 2024, Order Denying

filed a Motion to Compel Respondent to Communicate. On January 5, 2024, the Order Denying Motion to Compel was issued.

On January 5, 2024, Complainant's Motion for Summary Judgment was filed. On January 26, 2024, Complainant's Motion for Judicial Assistance was filed. On January 29, 2024, the Order Granting Motion for Judicial Assistance and Setting Deadlines was issued. On February 12, 2024, Complainant's Motion for Default Judgment was filed. On March 8, 2024, the Order Setting Status Conference was issued. On March 13, 2024, Respondent's Response to Complainant's Motion for Summary Judgment was filed. On March 18, 2024, the Order Denying Complainant's Motion for Summary Judgment was issued.

On March 18, 2024, the Scheduling Order was issued, commencing discovery. On March 18, 2024, the Memorandum Order Denying Complainant's Motion for Default Judgment was issued. On March 19, 2024, Complainant's Motion for Leave to Amend the Pleadings was filed, and later withdrawn on the same date. On March 25, 2024, Complainant's Renewed Motion for Summary Judgment and Complainant's Statement of Material Facts were filed. On May 7, 2024, Complainant's Motion to Compel Discovery was filed. On May 24, 2024, the Order to Show Cause and Denying Motion to Compel Without Prejudice was filed. On June 6, 2024, Respondent's response to the Order to Show Cause was filed.

On June 21, 2024, Complainant's Brief with exhibits and Complainant's Proposed Findings of Fact were filed. On October 9, 2024, Respondent's Motion for Conference was filed. On November 21, 2024, the Notice of Reassignment of the proceeding to the undersigned was issued. On December 2, 2024, the Notice of Extension of Time was issued extending the deadline for the initial decision to April 4, 2025, and the final decision to October 20, 2025. On December 12, 2024, the Order for Supplemental Information was issued,³ which, *inter alia*, denied Respondent's Motion for Conference without prejudice. On January 3, 2025, Complainant's Answers to the Commission's order for Supplemental Information and Exhibit Table of Contents with attached exhibits A - T,⁴ Complainant's Motion to Recover Prejudgment Interest, and Respondent's Answers to the Commission's Order for Supplemental Information were filed. On January 8, 2025, the Order to Show Cause was issued.

On January 24, 2025, Respondent's Response to Rule to Show Cause and Respondent's Response to Complainant's Motion for Summary Judgment, which had been renewed, were filed. On January 30, 2025, the Order Discharging Show Cause Order and Setting New Deadline was issued. On January 30, 2025, Complainant's Objection to Respondent's Request for

Complainant's Motion for Summary Judgment that the then pro se respondent intended the memorandum to be an answer, the undersigned did not issue a show cause order related to Easy Shipping's failure to file an answer.

³ Based on a finding that the record required further factual development in order to satisfy the requirements of the Administrative Procedure Act, 5 U.S.C. §§ 551 et seq., the parties were required to submit supplemental information in response to a request by the undersigned ALJ.

⁴ The documents attached to the final version of Complainant USL Exporting Inc.'s Exhibit Table of Contents are Bates stamped CX 1 to CX 335. The documents attached to the table are referenced herein as Complainant's Appendix CX followed by the page number.

Additional Time and Complainant's Motion for Leave to Issue Subpoena to CMA CGM were filed. On January 31, 2025, Complainant's Notice of Respondent's Misrepresentation was filed.

On January 31, 2025, Complainant's Motion to Supplement the Record and Compel Respondent to Produce Correspondence was filed. On February 3, 2025, Respondent's Proposed Findings of Fact with attached exhibits was filed. On February 4, 2025, Respondent's Appendix of Exhibits, Respondent's Brief, and Respondent's Proposed Findings of Fact were filed.⁵ On February 10, 2025, the Order Overruling Complainant's Objection to Extension of Time, Granting Complainant's Motion for Leave to Issue Subpoena to CMA CGM, Granting Complainant's Motion to Supplement Record and Compel Respondent to Produce Correspondence, and Setting New Deadlines was issued. On February 24, 2025, Complainant's Reply Brief was filed.

On March 11, 2024, the Notice of Extension of Time was served, which extended the initial decision deadline to August 4, 2025, and the final decision deadline to February 20, 2026. On March 26, 2025, Complainant's Second Supplemental Brief and Supplemental Appendices with an incomplete set of exhibits were filed. On March 28, 2025, the Order Directing Complainant to File Amended Supplemental Appendices Containing a Complete Appendix of Exhibits was filed. On March 28, 2025, Complainant USL Auto Exporting Inc.'s Exhibit Table of Contents was filed with the previously missing Exhibits U through X.

B. Argument of the Parties

1. Complainant's Argument

In its complaint, USL alleges that Easy Shipping violated 46 U.S.C. § 41102(c) by failing to adhere to and enforce just and reasonable regulations on a shipment of four vehicles from Savannah, Georgia to Al Khums,⁶ Libya by: (1) inaccurately declaring the shipment instructions causing the cargo to be returned to Savannah, Georgia, resulting in damages including basic freight fee of \$3,300, return fees of \$3,310, and inspection fees of \$2,300, for a total of \$8,910.00. (Complaint Causes of Action ¶ 4); (2) not filing a declaration of the returned container causing the returned container to go to inspection. (Complaint Causes of Action ¶ 5); (3) not paying the basic freight fees, return container fees, and inspection fees on time causing

⁵ The transmittal email contained the following message from Respondent's counsel: "Yesterday we sent an email which had a pdf attachment but was not the correct file to be submitted. When we tried to resend the files yesterday, the email did not transmit as the files were too large in the attachments. Therefore, we are sending this first email of 3 emails. This email has the Appendix of Exhibits, and the second email will have the Respondent's Brief and the third email will have the Respondent's Proposed Finding of Facts. I apologize for the inconvenience and the bombardment of emails today." Based on counsel's statement that timely filing of the brief and appendix were impacted by a technical issue involving the size of the files, the undersigned finds good cause for filing one day late. The record also shows that no response to proposed findings of fact was filed by Respondent in accordance with the scheduling order. Despite this omission, the undersigned finds that the record has been sufficiently developed for an adjudication on the merits. Because an adjudication on the merits is preferable to a decision on default and there is no apparent prejudice to Complainant, the undersigned will take no action with respect to Respondent's failure to file a response to Complainant's proposed findings of fact.

⁶ Al Khums is also known as Khoms or Al Khoms.

the returned container to incur demurrage fees of \$26,130. (Complaint Causes of Action ¶ 6); and (4) not paying demurrage fees causing USL to lose the cargo with a total value of \$31,800, and subjecting it to towing charges of \$1,800, loading charges of \$800, and lost profits of \$12,000. (Complaint Causes of Action ¶¶ 7-8.) USL claims to have incurred total damages in the amount of \$52,710.00. (Complaint Damages ¶ 1). USL alleges in its prayer for relief that Easy Shipping's actions violate both 46 U.S.C. §§ 41102(c) and 41104(a)(3). (Complaint Prayer for Relief. ¶ 2.)

In its response to the request for supplemental information, USL also alleges for the first time that Easy Shipping violated 46 U.S.C. § 41104(a)(2)(A). (Complainant's Answers to the Commission's Order for Supplemental Information directed to Complainant 1.) USL appears to have attempted to raise this allegation in its original motion for summary judgment, although USL incorrectly cited the statutory violation as 46 U.S.C. § 41104(a)(A). (Complainant's Motion for Summary Judgment at 5-6.) In denying the motion for summary judgment based on the existence of a factual dispute, Judge Chintella stated that USL's motion alleged claims under 46 U.S.C. §§ 41102(c), 41104(a)(2)(A), and 41104(a)(3), apparently finding that the motion contained a typographical error in referencing § 41104(a)(A) rather than § 41104(a)(2)(A). (Order Denying Complainant's Motion for Summary Judgment at 1). However, USL did not seek leave to file an amended complaint alleging a violation under 46 U.S.C. § 41104(a)(2)(A), and its renewed motion for summary judgment only alleges a violation under 46 U.S.C. ¶ 41102(c).

Based on this record, the undersigned finds that USL failed to put Easy Shipping on sufficient notice for due process purposes that it alleged a violation under 46 U.S.C. § 41104(a)(2)(A). In the absence of an allegation of a violation of that statutory provision in its pleadings or a motion to conform the pleadings to the evidence, Easy Shipping would not have understood it to be at issue and was thereby deprived of a meaningful opportunity to respond.⁷ Accordingly, the undersigned finds that a violation under § 41104(a)(2)(A) has not been alleged in the complaint and is not at issue. Additionally, the undersigned finds that USL waived this argument by not addressing it in its brief. *See Corson and Gruman Company v. National Labor Relations Board*, 899 F.2d 47, 51 n.4 (D.C. Cir. 1990), citing *Reyes-Arias v. INS*, 866 F.2d 500, 504 n.2 (D.C. Cir. 1989) (In general, parties are required to raise all of their arguments in an opening brief to prevent "sandbagging" that deprives the opposing party of the opportunity to respond, and not doing so constitutes a waiver of the arguments not raised in the opening brief.)

USL argues in its brief that Easy Shipping has engaged in a pattern of misrepresentation, regulatory non-compliance, general denial, and lack of procedural integrity that violate 46 U.S.C. §§ 41102(c) and 41104(a)(3). USL argues that Easy Shipping's numerous factual inaccuracies, contradictions, general denials, and procedural shortcomings undermine its defenses and credibility, and that any inferences based on its filings should not be construed in its favor. USL

⁷ Because USL failed to assert a claim for violation of § 41104(a)(2)(A) in its pleadings, the undersigned finds this argument is beyond the scope of the pleadings and, consequently, will not be considered. *See Alvarado v. Utah*, 601 Fed. Appx. 750, 752 (10th Cir.2015) (plaintiff may not assert claims not included in complaint). A defendant should be able to review a complaint, and, if it is confident that it fails to state a claim for relief, elect to conserve resources and not defend the case. *See United States v. Bayley*, 2023 WL 3093126, at *15 n. 4 (W.D. Wash. 2023), citing *Ayers v. Receivables Performance Mgmt., L.L.C.*, 2016 WL 5402962, at *5 (E.D. Mich. 2016).

argues that Easy Shipping violated § 41102(c) by: (1) falsely identifying the cargo on the bill of lading; (2) underpaying the return basic freight by \$310.52, which remained unpaid for months causing the container not to be released and subjected to additional costs, charges, and fees; (3) failing to nominate a shipper or consignee for the return shipment; and (4) failing to provide the bill of lading for review in accordance with 46 U.S.C. § 520.11(c)(iii),⁸ which is applicable in co-loading cases involving another NVOCC, depriving USL of the opportunity to cure the misdeclaration error on the bill of lading. USL argues that Easy Shipping inaccurately described the cargo on the bill of lading despite acknowledging receipt of multiple documents identifying the vehicles in the shipment. USL also argues that Easy Shipping failed to comply with the Importer Security Filing Requirements set forth in 19 C.F.R. § 149.2 despite knowing that the container had been returned, and that the failure constitutes a violation of 46 U.S.C. § 41104(c).⁹ It argues that Easy Shipping failed to adhere to the professional standards of a licensed freight forwarder, including not fully managing the clearance of the container. USL argues that Easy Shipping failed to prove its allegation that USL misrepresented the cargo to be shipped. USL denies that it misrepresented the cargo in its original booking request and argues that regardless pursuant to 46 U.S.C. § 520.11(2)(C) the dock receipt is the pivotal document guiding the interactions between the shipper and the freight forwarder. USL argues that Easy Shipping has made falsehoods and manipulated evidence in this proceeding. USL argues that Easy Shipping's contention that the container was returned due to the presence of a prohibited item, namely a 2012 Yamaha FX, is unsubstantiated. USL argues the text message it sent to Easy Shipping supplying the VIN for a Toyota 4Runner following the discovery of the prohibited Toyota Tundra in the shipment was an attempt to resolve the issue without placing blame on Easy Shipping. USL denies Easy Shipping's allegation that it fraudulently posed as an employee of Easy Shipping when dealing directly with CMA CGM regarding the returned container. (Complainant's Brief.)

In its reply brief, Complainant argues that Respondent admits that Complainant provided it with correct shipping information. Complainant argues that Respondent falsely represented without proof that the container at issue was returned due to the presence of a 2012 Yamaha FX SHO Jet Ski when it was in fact returned due to the presence of a 2005 Toyota truck, and that in doing so Respondent attempted to mislead the Commission. Although Complainant admits that the presence of the Jet Ski was investigated by CMA CGM, it contends that the only reason for the return of the container was the presence of the 2005 Toyota Tundra truck. Complainant argues that Respondent had a duty as a common carrier and NVOCC to ensure that the shipment was properly documented, is improperly shifting blame to Complainant, and has offered no proof that Complainant failed to disclose the correct cargo. Complainant argues Respondent failed to provide the original bill of lading to Complainant, which deprived Complainant of the opportunity to identify and cure any errors and ensure regulatory compliance. Complainant argues that Respondent falsely stated that it does not handle exports to the United States and was

⁸ Complainant now admits that 46 U.S.C. § 520.11 does not govern Respondent's conduct in this proceeding. (Complainant's Answers to the Commission's Order for Supplemental Information directed to Complainant 6.) As such, the undersigned finds that this argument has been abandoned.

⁹ Because USL failed to assert a claim for violation of § 41104(c) in its pleadings, the undersigned finds this argument is beyond the scope of the pleadings and, consequently, will not be considered for the reasons set forth at n.7.

not responsible for filing the Importer Security Filing, and that publicly available trade data show that Respondent is documented to have imported at least 19 shipments into the United States.

Complainant argues that it is entitled to an adverse inference against Respondent's credibility based on Respondent's material misrepresentations. Complainant argues that Respondent failed to fully pay the freight fees due to CMA CGM, resulting in the container not being released, which led to the imposition of additional costs, including inspection fees, misconduct fees, and detention fees. Complainant argues that Respondent failed to offer proof that Complainant hired a third party to handle the return of the container and then paid Respondent past due for a prior shipment resulting in a late fee being assessed for the shipment at issue. Complainant argues that it could not have secured the release of the container without Respondent's direct involvement as the shipper on the bill of lading, rendering Respondent's assertion otherwise demonstrably false. Complainant argues that Respondent mischaracterizes Complainant's good faith efforts to secure the release of the container as fraud and argues that it was required to reach out to CMA CGM directly due to Respondent's inaction. Complainant argues that although a third party may have been hired to handle the customs clearance of the container, Respondent remained responsible for paying the freight and securing the necessary release. Complainant argues that Respondent's unsupported allegations that it committed fraud warrant the imposition of a monetary penalty and sanctions. Complainant argues that Respondent abandoned the argument that it had no business relationship with Respondent but rather interacted only with an individual in its opposition to Complainant's motion for summary judgment. Complainant seeks judgment in its favor for violations of 46 U.S.C. § 41102(c) and § 41104(a)(3), an award of damages in the amount of \$53,710, the imposition of monetary sanctions for making baseless allegations of fraud and engaging in bad faith tactics, and an award of prejudgment interest in the amount of \$5,006.40 in accordance with 46 U.S.C. § 4305(a) and 46 C.F.R. § 502.253. (Complainant's Reply Brief.)

In Complainant's supplemental brief, it argues that newly discovered evidence obtained from the subpoena served on CMA CGM directly contradicts Respondent's allegation that the container at issue was returned to Savannah due to Complainant's misdeclaration and proves that Respondent engaged in a pattern of misdeclaring cargo involving VIN discrepancies on bills of lading with respect to multiple other shipments. Complainant argues that the newly discovered evidence also proves that Respondent falsely asserted that the container at issue was investigated due to the presence of a banned Jet Ski. Complainant argues that Respondent breached its duty as an NVOCC to exercise diligence to ensure accuracy and integrity in documentation and dealings, and that it cannot evade liability by shifting responsibility for doing so to the shipper. Complainant argues that Respondent has made false and misleading statements warranting the imposition of adverse inferences, sanctions or other remedial actions. Complainant argues that Respondent's misdeclaration of cargo, failure to file paperwork, and failure to pay charges violated the Shipping Act and directly resulted in the damages Complainant suffered. (Complainant's Second Supplemental Brief and Supplemental Appendices.)

2. Respondent's Argument

In its memorandum response to the complaint, Easy Shipping alleges that it only agreed to provide USL with a booking with CMA CGM and documentation of the dock receipt. Easy Shipping alleges that USL's booking request email requested the shipment of three vehicles and

one motorcycle, but that USL fraudulently edited the email submitted in this action by removing the words “Yamaha Motorcycle.” Easy Shipping alleges that USL’s container was loaded privately by an unknown warehouse in Savannah, Georgia that had been arranged by USL, and that the warehouse later provided Easy Shipping with the container number so the documentation could be completed. Easy Shipping alleges that the booking request made by USL was for three vehicles and a motorcycle, and that after the container was shipped CMA CGM advised Easy Shipping that it contained an item prohibited from import to Libya, namely a Yamaha Jet Ski. Easy Shipping alleges that thereafter USL sent photos of a motorcycle to Easy Shipping stating that the Yamaha may have the tires and wheels removed, which photos were then provided to CMA CGM to show that the item was a motorcycle rather than a prohibited Jet Ski. Easy Shipping alleges that CMA CGM later identified a second prohibited item, a Toyota Tundra, which USL claimed was a Toyota 4Runner and asserted that the warehouse had made a typo in the loading plans. Easy Shipping alleges that the container was returned to Savannah, Georgia due to the prohibited cargo, and that USL commenced dealing directly with CMA CGM by falsely representing that it was an agent of Easy Shipping, directed CMA CGM to deal exclusively with USL, and agreed to assume all financial responsibility for the container. Easy Shipping alleges that all emails it sent to USL contained a disclaimer explaining applicable U.S. Customs procedures and inspections, and stating that all charges that may occur will be the shipper’s responsibility. Easy Shipping alleges that USL paid CMA CGM directly for the shipment fees, but did not pay storage, demurrage, and detention fees in the total amount of \$84,095 as of November 29, 2023, despite being aware that all fees needed to be cleared for the container to be released. (Response for Memorandum of Facts.)

Easy Shipping states in its brief that in April of 2023 USL’s principal requested a booking of a shipment of four vehicles from Savannah, Georgia to Al Khoms, Libya, that Easy Shipping secured the booking, that a loader company loaded the container and provided Easy Shipping with a dock receipt, and that the container was loaded on a vessel. Easy Shipping states that thereafter CMA reported a misdeclaration of cargo in the shipping instructions because a Toyota 4Runner was listed on the bill of lading instead of the Toyota Tundra in the container. Easy Shipping states that it did not play any role in the transportation, warehousing, loading, or delivery of the items to the port. Easy Shipping states upon learning of the misdeclaration, USL’s principal provided the model and VIN for a Toyota 4 Runner and that Easy Shipping transmitted the information to CMA in order to verify the cargo. Easy Shipping states that CMA also advised Easy Shipping of a second prohibited item that was listed as a motorcycle but appeared to be a Jet Ski. Easy Shipping states that USL’s principal subsequently provided photos of a motorcycle to Easy Shipping and explained that the wheels may be off. Easy Shipping states that it then provided the photos and information about the wheels being off to CMA. Easy Shipping states that when CMA was reviewing the motorcycle photos in May of 2023 that USL was aware of relevant events, that USL wanted to bring the container back to Savannah to “fix things,” that USL hired a third party to work on getting the cargo back, and that USL began submitting past due payments to Easy Shipping, resulting in a late fee being assessed by CMA. Easy Shipping states that in July of 2023, USL advised Easy Shipping that the container was back in Savannah, but that Easy Shipping did not receive any communications from CMA regarding the release of the cargo until September of 2023. Easy Shipping states that between the period of May of 2023 and September of 2023 USL’s principal was communicating directly with CMA by impersonating himself as an employee/agent of Easy Shipping. Easy Shipping states that it then informed USL of the fees that needed to be paid and that the funds were sent to CMA once paid

by USL. Easy Shipping contends that any late payments occurred because USL was late in paying Easy Shipping. (Respondent's Brief.)

C. Evidence

Under the Administrative Procedure Act, an administrative law judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 98-102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the complaint or the defenses thereto. Administrative adjudicators are "not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are 'material.'" *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent that individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

II. FINDINGS OF FACT¹⁰

Because the record had not been fully developed, the undersigned issued an Order for Supplemental Information on December 13, 2024, to both USL and Easy Shipping directing them to provide responses under oath and subject to the penalty of perjury pursuant to 28 U.S.C. § 1746. USL and Easy Shipping each filed responses on January 3, 2025.¹¹ Thus, the findings of fact are based both on the evidence in the record and the supplemental information provided by the parties under oath in response to the order for supplemental information.

The Parties and Principals

1. Easy Shipping is an ocean carrier and freight forwarder subject to the jurisdiction of the Federal Maritime Commission ("Commission") who entered into a contract on August 12, 2023, with USL for USL to ship the following cargo from Savannah, Georgia to Libya: 2011 Kia Sorento,

¹⁰ The undersigned finds that Complainant's request that a negative inference be imposed against Respondent's credibility based, *inter alia*, on bad faith conduct, misrepresentations, and an attempt to mislead the Commission not to be well taken. In this regard, the findings of fact herein are not based on credibility determinations but rather on largely unchallenged documentary evidence that reveals the parties' course of conduct, and to the extent challenged are corroborated elsewhere in the record.

¹¹ Each party provided responses to questions directed to both parties in the first section and to them individually in the second section. For this reason, the citations in this decision to the responses to the request for supplemental information identify the responding party, followed by the joint or individual question section, followed by the paragraph number.

5XYKT4A17BG175020; 2006 Lexus GX470, JTJBT20XX60123772; 2005 Toyota T, 5TBKT421155S468135L; and Yamaha Cruiser, US-YAMA3067B212. (Complaint Exhibits A and B; Response for Memorandum of Facts Exhibit A; Complainant's Answers to the Commission's Order for Supplemental Information directed to both parties 3; Respondent's Answers to the Commission's Order for Supplemental Information directed to both parties 3.)

2. Easy Shipping served as both a non-vessel operating common carrier ("NVOCC") and freight forwarder during the period at issue. (Complainant's Answers to the Commission's Order for Supplemental Information directed to both parties 1; Respondent's Answers to the Commission's Order for Supplemental Information directed to both parties 1.)
3. Ahmed Sadek is the owner and president of Easy Shipping. (Respondent's Answers to the Commission's Order for Supplemental Information directed to both parties 14.)
4. Mohamed Elboghdady is a silent partner at Easy Shipping. (Respondent's Answers to the Commission's Order for Supplemental Information directed to both parties 15.)
5. Khalid Arwini communicated with Easy Shipping on behalf of USL.¹² (Order Denying Complainant's Motion for Summary Judgment; Joint Status Report at 1).

The Shipment at Issue

6. On April 13, 2023, Khalid Arwini sent an email to Easy Shipping with a booking request for the following cargo items: 2011 Kia Sorento VXYKT4A17BG175020; 2006 Lexus GX470 JTJBT20XX60123772; 2005 Toyota T 5TBKT42115S468135; Yamaha Cruiser US-YAMA3067B212. (Complaint Exhibit A; Complainant's Appendix CX 11; Respondent's Findings of Fact Exhibit A.)
7. On April 17, 2023, Easy Shipping made a booking request with CMA CGM for shipment from Savannah, Georgia to El Khoms, Libya under booking number NAM6206412, and the booking was confirmed later the same date. (Complainant's Appendix CX 13, 15, 72-74; Respondent's Proposed Findings of Fact Exhibit B and C.)

¹² In its Response for Memorandum of Facts, Easy Shipping originally alleged that it only dealt with Khalid Arwini and had no dealings or agreement with USL, but in the Order Denying Complainant's Motion for Summary Judgment Judge Chintella found that this argument had been abandoned. (Order Denying Complainant's Motion for Summary Judgment at 2.) Additionally, the Joint Status Report states: "Originally, the Respondent did not know who USL Auto Exporting is, the historical relationship has always been portrayed by the Complainant as Khalid Arwini not USL but now they have learned they are the same." (Status Report at 1.) Thus, the record supports a finding that Khalid Arwini was acting on behalf of USL during all relevant times in this proceeding.

8. On April 20, 2023, Khalid Arwini sent Easy Shipping an email with the container number and seal number for the container. (Complainant's Appendix CX 17; Respondent's Findings of Fact Exhibit D.)
9. On April 20, 2023, Khalid Arwini sent Easy Shipping Certificates of Title for three vehicles with the following year, make, model, and VIN: 2011 Kia SORENT VIN 5XYKT4A17BG175020; 2006 LEXS GX VIN JTJB20XX60123772; and 2005 TOYT TUNDRA VIN 5TBKT42115S468135. At the same time, he sent a Certificate of Title for Vessel for a vessel with the following year, make, model, and HIN:¹³ 2012 YAMAHA FX SHO personal watercraft HIN YAMA3067B212. (Complainant's Answers to the Commission's Order for Supplemental Information to both parties 16; Complainant's Appendix CX 19-23; Respondent's Response for Memorandum of Facts Exhibit E; Respondent's Proposed Findings of Fact Exhibit E.)
10. On or about April 20, 2023, the following items of cargo were loaded onto the container in Savannah, Georgia, and later returned to Savannah, Georgia: 2005 Toyota Tundra (VIN: 5TBKT42115S468135); 2011 Kia Sorento (VIN: 5XYKT4A17BG175020); 2012 Yamaha FX SHO (HIN: YAMA3067B212); and 2006 Lexus GX 470 (VIN: JTJBT20XX60123772). (Complainant's Answers to the Commission's Order for Supplemental Information directed to both parties 4 and 5; Complainant's Appendix CX 25-27, 78; Respondent's Answers to the Commission's Order for Supplemental Information directed to both parties 4 and 5.)
11. The 2012 Yamaha loaded on the container was a Jet Ski. (Respondent's Answers to the Commission's Order for Supplemental Information directed to both parties 5; Respondent's Proposed Findings of Fact Exhibit E.)
12. The dock receipt for the container listed the cargo as follows: 2005 Toyota Tundra; 2011 Kia Sorento; 2012 Yamaha FX SHO; and 2006 Lexus GX 470. (Complaint Exhibit C; Complainant's Appendix CX 27; Respondent's Findings of Fact Exhibit F.)
13. The Electronic Export Information (EEI) shows the date of export for the container as April 24, 2023, and lists Khalid Arwini as U.S. Principal Party. The EEI lists the description of the commodities as: 2005 Toyota Tundra, VIN 5TBKT42115S468135; 2011 Kia Sorento, VIN 5XYKT4A17BG175020; 2006 Lexus GX 470, VIN JTJBT20XX60123772; and 2012 Yamaha FX SHO YAMA3067B212. (Complainant's Appendix CX 29-30; Respondent's Response for Memorandum of Facts Response Exhibit G.)

¹³ HIN stands for Hull Identification Number.

14. On April 24, 2023, CMA issued an invoice to Easy Shipping in the amount of \$2,865 for basic freight in the amount of \$2,700 and associated charges for shipment of the container. The invoice identifies the container number as SEGU4852914. (Complainant's Appendix CX 85.)
15. On April 26, 2023, at 10 a.m., CMA CGM ("CMA"), the ocean common carrier, sent an email to Easy Shipping stating that the Jet ski loaded on the container was prohibited from import to Libya. CMA's email referenced a 2017 YAMAHA FX VIN:YAMA3067B212 and stated: "We have received word that the above cargo is loaded in the container. The cargo is restricted for import into Libya as Jet Skis are prohibited. The container will be held at transshipment. Please advise a change of destination or if the container should be returned to the POD." (Complainant's Appendix CX 32; Respondent's Response for Memorandum of Facts Response Exhibit H; Respondent's Findings of Fact Exhibit H.)
16. On April 26, 2023, at 10:21 a.m., Easy Shipping replied to CMA "as I know from consignee its motorcycle ple[a]se conform." CMA responded: "We have updated our documentation team to proceed with motorcycle." (Complainant's Appendix CX 33-34; Respondent's Response for Memorandum of Facts Exhibit H.)
17. On April 27, 2023, CMA sent an email to Easy Shipping referencing a 2017 Yamaha FX VIN:YAMA3067B212 and stating: Thank you for clarifying that the below cargo is a motorcycle. We do need more information. Please provide a photo of the MOTORCYCLE as requested by our agents to confirm the commodity. (Complainant's Appendix CX 34; Respondent's Response for Memorandum of Facts Exhibit H; Respondent's Findings of Fact Exhibit H.)
18. On April 28, 2023, Khalid Arwini emailed Easy Shipping photos of a motorcycle and stated "wheels and tires may be off." (Respondent's Response for Memorandum of Facts Exhibit I; Complainant's Appendix CX 38-40; Complainant's Answers to the Commission's Order for Supplemental Information directed to Complainant 8; Respondent's Findings of Fact Exhibit K.)
19. On May 1, 2023, at 9:25 a.m., CMA sent an email to Easy Shipping renewing its request for a photo of the motorcycle, stating: Please provide a photo of the MOTORCYCLE as requested by our agents to confirm the commodity, followed by: 2017 YAMAHA FX VIN:YAMA3067B212. (Complainant's Appendix CX 34; Respondent's Response for Memorandum of Facts Exhibit H.)
20. On May 1, 2023, at 9:27 a.m., Easy Shipping sent the two motorcycle photos to CMA that had been provided by Khalid Arwini, to which CMA responded at

9:53 a.m. that the sanctions team will review. (Complainant's Exhibit CX 36; Respondent's Response for Memorandum of Facts Exhibit H.)

21. On May 9, 2023, CMA issued an invoice to Easy Shipping for a late payment fee in the amount of \$75 for the container number SEGU4852914. (Complainant's Appendix CX 103, 108.)
22. On May 9, 2023, Easy Shipping requested the payment of \$3,300 for basic freight from USL and USL paid respondent \$3,300, which included a basic freight charge in the amount of \$2,865 and a late payment fee of \$75. (Complainant's Appendix CX 87; Complaint Exhibit E; Respondent's Answers to the Commission's Order for Supplemental Information directed to Respondent 16 and 18.)
23. On May 11, 2023, at 10:10 a.m., CMA advised Easy Shipping of a misdeclaration in the shipping instructions by email re: 2017 TOYOTA 4RUNNER VIN:5TBKT42115S468135, stating: "It has been determined that the shipment for NAM6206412 has misdeclared cargo. The shipping instructions show that a 2017 TOYOTA 4RUNNER VIN:5TBKT42115S468135 was loaded, however after review of the vin number indicates this vehicle to be a 2005 TOYOTA TUNDRA PICKUP. A misdeclaration fee of \$2000 will be added to the bill and the container will be returned to port of loading." (Complainant's Appendix CX 44; Complaint Exhibit D; Respondent's Findings of Fact Exhibit L.)
24. On May 11, 2023, at 1:40 p.m., Khalid Arwini sent Easy Shipping a text regarding the prohibited 2005 Toyota Tundra, stating: "There must be a typo in the loading plans. Returning proceed [sic] will cost a lot. Can we ship this to the destination since it's on the way and I will request a Vin# update/correction for this 4Runner," and providing the following information sent later that day: 2017 Toyota 4Runner VIN: JTEBU5JR0H5408127. (Complainant's Appendix CX 42; Respondent's Response for Memorandum of Facts Exhibit J; Respondent's Findings of Fact Exhibit M.)
25. On May 12, 2023, Easy Shipping sent an email to CMA "Re: NAM6206412 2005 Toyota 5TBKT42115S468135 Libya POD," which stated: "the warehouse in Savannah made a mistake this is a correct car in the container: 2017 Toyota 4Runner SR5 VIN: JTFBU5JR0H5408127 please correct it in b/l." (Complainant's Appendix CX 44, 82; Complaint Exhibit D.)
26. On May 16, 2023, CMA issued an invoice to Easy Shipping for a misdeclaration fee in the amount of \$2,000 for container number SEGU4852914. (Complainant's Appendix CX 102.)

27. On May 31, 2023, CMA issued an invoice to Easy Shipping in the amount of \$4,310.52 for the return of container number SEGU4852914. (Complainant's Appendix CX 93; Complaint Exhibit G.)
28. On June 1, 2023, CMA sent an email to Easy Shipping stating: "Please Provide local Consignee & Notify party for subject booking." (Complainant's Appendix CX 44.)
29. On July 6, 2023, Khalid Arwini sent an email to Ahmed Sadek at Easy Shipping stating: "Good morning, this container is in Savannah now SEGU4852914, we need to pull container to the warehouse to fix it and send it back to Khoms with CMA." (Complainant's Appendix CX 49; Respondent's Answers to the Commission's Order for Supplemental Information Exhibit E.)
30. On July 17 – 19, 2023, USL remitted a total of \$4,310 to Easy Shipping in installments. Payments were made to Mohamed Elboghady for SEGU4852914 as follows: \$1,000 via Cashapp on July 17, 2023; \$1,000 via Zelle on July 17, 2023; \$1,000 via Zelle on July 18, 2023; \$1,000 via Zelle on July 18, 2023; and \$310 via Cashapp on July 19, 2023. (Complainant's Appendix CX 96-100; Complaint Exhibit H; Respondent's Answers to the Commission's Order for Supplemental Information directed to Respondent 17 and 18.)
31. On August 9, 2023, Khalid Arwini sent the following message to Ahmed Sadek: "Send me original Bill of landing [sic] from Shipping line asap custom broker needs it today." (Complainant's Appendix CX 51.)
32. On August 10, 2023, an internal CMA CGM email from Kailyn Davis regarding problem resolution related to the container states: "In summary, this shipment has been returned back to the U.S. since the commodity is a restricted shipment in Libya. As such, the shipping party, Easy Line Shipping, is trying to clear the cargo so they can pick it up." (Complainant's Appendix CX 320.)
33. On September 1, 2023, the CMA website showed that the container was discharged in Savannah, Georgia on July 2, 2023, with the last free port day of July 7, 2023. (Complainant's Appendix CX 46-47; Respondent's Response for Memorandum of Facts Response Exhibit L.)
34. On or about September 18, 2023, the container was released from CBP exam. (Complainant's Appendix CX 304.)
35. On September 19, 2023, Khalid Arwini sent an email to Officer Walker at CBP on behalf of Easy Shipping requesting payment information in order to obtain release of the container given that the inspection had been completed. (Complainant's Appendix CX 149-150.)

36. On September 19, 2023, CMA sent an email to Khalid Arwini and Easy Shipping stating that “the exam has finished and that there are still outstanding payments that will need to be made for the line release.” (Complainant’s Appendix CX 57; Respondent’s Response for Memorandum of Facts Response Exhibit P.)
37. On September 20, 2023, CMA issued an invoice to Easy Shipping in the amount of \$2,306 for the examination of the container number SEGU4852914. (Complainant’s Appendix CX 107.)
38. On September 20, 2023, CMA sent an email to an unknown recipient stating that there was an outstanding balance of \$310.52 on invoice NAOB0367804 with charges totaling \$4,310.52 for the return shipment to Savannah. (Complainant’s Appendix CX 109; Complaint Exhibits G and K.)
39. On September 20, 2023, Kailyn Davis of CMA CGM sent an email to Khalid Arwini and Easy Shipping with an invoice showing an outstanding balance of \$310.52 on NAOB0367804. (Complainant’s Appendix CX 144.)
40. On September 21, 2023, Khalid Arwini and sent an email to CMA CGM requesting wire instructions in order to make payment. (Complainant’s Appendix CX 143.)
41. On September 25, 2023, USL paid CMA \$2,075 for the misdeclaration fee of \$2,000 and \$75 late payment fee. On the same date, USL paid CMA \$2,306 for the examination by customs of the returned container. (Complainant’s Appendix CX 55; Complaint Exhibit J and K.)
42. On September 25, 2023, USL paid CMA \$2,616.52 by wire transfer from a Wells Fargo account for the \$2,306 charge for the inspection of the returned container and the outstanding balance of \$310.52 on invoice NAOB0367804. (Complainant’s Appendix CX 110; Complaint Exhibit K.)
43. On September 26, 2023, Khalid Arwini sent the following email message to CMA: “Please send me demurrage info and payment information?” (Complainant’s Appendix CX 53.)
44. On September 26, 2023, CMA issued an invoice to Easy Shipping for demurrage charges in the amount of \$26,130 accruing on container number SEGU4852914 from July 12, 2023, through September 27, 2023, a period of 82 days. (Complainant’s Appendix CX 112.)
45. On November 29, 2023, CMA advised Easy Shipping in writing that the container remained uncollected at the port of discharge. The letter indicates that the container had idled in port for 150 days. It states that the container is subject to D & D of \$37,250 and storage of \$46,845, asks for immediate arrangements

to be made for consignee to pick up, states that if no action is taken within 7 days they reserve the right to take whatever action available under cargo lien pursuant to article 11, 12, and 13 of the CMA's B/L, and states that as merchant under bill of lading your company is jointly and severally liable for the payment of the above charges. (Complainant's Appendix CX 65; Respondent's Response for Memorandum of Facts Response Exhibit R.)

46. On December 20, 2023, Easy Shipping sent the following email to CMA: "After reviewing the booking case of NAM6206412 emails and threads, it was brought to our attention that Khalid Arwini was directly addressing the case booking of NAM6206412 with all but not limited to our knowledge with CMA-CGM, Inbond Vessel Manager, and CBP.DHS initiallying [sic] that he is Khalid Arwini with 'Easy Shipping Group' from email arwini.khalid@gmail.com. Unfortunately, we were not cc'd nor added to Khalid Arwini email attempts to plagiarize as an acting contact with Easy Shipping until CMA-CGM added our company into the group email as an additional contact if Khalid Arwini is not available. I would like to bring this as an awareness of Khalid Arwini fraudulent action since Khalid Arwini is the 'sender' customer of this booking only, and nor has or ever been an employee to [sic] Easy Shipping Corporation. Please obtain [sic] contacting Khalid Arwini as an [sic] representative for Easy Shipping but only address as a 'sender' customer for this booking." (Complainant's Appendix CX 67, 151.)

Misdeclaration of Banned Cargo on Shipment at Issue

47. USL's booking request sent to Easy Shipping identified the Yamaha to be shipped as a "Yamaha Cruiser," rather than the "2012 Yamaha FX SHO" shown on the certificate of vessel and dock receipt it provided to Easy Shipping. USL's booking request listed the model of the Toyota to be shipped by as a "Toyota T" rather than a "2005 Toyota Tundra" listed on the certificate of title and dock receipt for container number as SEGU4852914 provided to Easy Shipping. (Complainant's Appendix CX 11 and CX 27; Complaint Exhibits A and C; Response for Memorandum of Facts Exhibits A and E.)
48. The bill of lading prepared by Easy Shipping listed USL's cargo as follows: 2017 Toyota 4Runner, VIN: 5TBKT42115S468135; 2017 KIA SORENTO, VIN: 5XYKT4A17BG175020; 2017 YAMAHA FX, VIN: YAMA3067B212; 2018 LEXUS GX 470, VIN: JTJBT20XX60123772, and identifies the container number as SEGU4852914. (Complainant's Appendix CX 89-91.)
49. Easy Shipping misdeclared two items of cargo in the bill of lading by describing them as follows: (a) 2017 Toyota 4Runner instead of a 2005 Toyota Tundra as shown on the dock receipt and certificate of title; and (b) a 2017 YAMAHA FX instead of 2012 YAMAHA FX SHO as shown on the dock receipt and certificate of vessel. (Complainant's Appendix CX 22, 23, 27, 89-91; Complaint Exhibit F.)

50. The container was returned to Savannah Georgia due to the misdeclaration of a 2017 Toyota 4Runner on the shipping instructions rather than the prohibited 2005 Toyota Tundra that was banned from import to Libya. (Complainant's Answers to the Commission's Order for Supplemental Information directed to both parties 11 and 12; Complainant's Appendix CX 82, 296-297.)
51. Due to the misdeclaration of the 2017 Toyota 4Runner, CMA redirected the container back to Savannah Georgia. (Complaint Exhibit D; Complainant's Appendix CX 44.)
52. Watercraft/Jet Skis and pick-up trucks were banned from import to Libya during the time frame at issue. (Respondent's Answers to the Commission's Order for Supplemental Information directed to both parties 12; Complainant's Appendix CX 166, 327.)

Charges and Payments

53. Easy Shipping charged USL the rate of \$3,300 for the shipment at issue. The applicable tariff rate for the shipment was \$2,865. A late fee of \$75 was assessed for a total charge of \$2,940. (Respondent's Answers to the Commission's Order for Supplemental Information directed to Respondent 4 and 5; Complainant's Answers to the Commission's Order for Supplemental Information directed to Complainant 10.)
54. USL made payments totaling \$7,610 to Easy Shipping related to the shipment at issue. (Complaint Exhibit H; Respondent's Answers to the Commission's Order for Supplemental Information directed to Respondent 17 and 18.)
55. An undated invoice shows Khalid Arwini paid towing charges in the amount of \$900 for a 2006 Tundra and a Yamaha Jet Ski and trailer in Savannah, Georgia. (Complainant's Appendix CX 129-130.)
56. Easy Shipping's misdeclaration of the 2017 Toyota 4Runner in the shipment instructions resulted in the cargo being returned to Savannah, Georgia, and the assessment of charges including basic freight fee of \$3,300, return fees of \$3,310, and inspection fees totaling \$2,300, cumulatively amounting to \$8,910. (Complainant's Answers to the Commission's Order for Supplemental Information directed to Complainant 10.)

Easy Shipping's Partial Payment of Invoice

57. Easy Shipping admits that it partially paid invoice NAOB0367804 resulting in a deficit of \$310.52. (Respondent's Answers to the Commission's Order for Supplemental Information directed to Respondent 15.)

58. Respondent's failure to fully pay the return basic freight invoice #NAOB0367804 by \$310.52 resulted in the container not being released and assessment of detention fees and costs. (Complainant's Answers to the Commission's Order for Supplemental Information directed to Complainant 2 and 3.)

Easy Shipping's Similar Conduct in Other Shipments

59. Dock receipt No. NAM6150781B dated March 3, 2023, shows the following description of goods for container number TCKU6353393: 2018 HYUNDAI SANTA FE, VIN:5NMSG13D88H196113; 2004 NISSAN FRONTIER, VIN:1N6ED27T74C480495; 2013 KIA SOUL, VIN:KNDJT2A69D7585619; and 2015 HONDA ACCORD, VIN:1HGCR2F7XFA070144. (Complainant's Appendix CX 333-334.)
60. Bill of lading No. NAM6150781B lists Easy Shipping as the shipper, Drop Atlas Shipping Agencies Co. as consignee, and the port of discharge as El Khoms. It shows the following description of goods for container number TCKU6353393: 2018 HYUNDAI SANTA FE, VIN:5NMSG13D88H196113; 2018 NISSAN MURANO, VIN:1N6ED27T74C480495; 2018 KIA SOUL, VIN:KNDJT2A69D7585619; and 2018 HONDA ACCORD, VIN:1HGCR2F7XFA070144. (Complainant's Appendix CX 141, 327.)
61. On August 1, 2023, a CMA CGM internal email with the subject line "Easy Shipping Invoices for NAM6150781B" included the following statement: "For this shipment, Easy Shipping did load something in this container they should not have. Not sure what it was but it had to be a pickup truck or jet ski/boat." (Complainant's Appendix CX 166.)
62. On August 11, 2023, NAM6150781B was discharged in New York, New York with a last free day at port of August 17, 2023. (Complainant's Appendix CX 175.)
63. On August 29, 2023, CMA CGM advised Easy Shipping that there was a customs hold on the import bill of lading for NAM6150781B. (Complainant's Appendix CX 181.)
64. On September 1, 2023, an internal CMA CGM email regarding Easy Shipping from Kailyn Davis to the legal department with a subject line of "Reporting Suspicious Activity on US Shipper" states:

Good day,

Dawn Webber directed me to reach out to your team directly as a shipping party has cause [sic] my attention through a return shipment for general order and being informed of a similar issue

on the re-export side. As such, I went looking to see if there were any more return shipments. While I am still looking for shipments within my scope, I have found enough of a history of similar instances that I think it should be looked into. The party in question is Easy Shipping Corporation. They have two partner codes that pullup: 0006879108 and 0003522202.

The following BLs were the prompting shipments:

- NAM6206412- A return shipment in USSAV placed on general order. The shipment was caught in France and returned to USSAV as the VIN number reported for the Toyota 4Runner came up as a 2005 Toyota Tundra. The latter of which is not a compliant shipment for the original POD in Libya.
- NAM6150781B- A requested re-export shipment under a 2O hold marked under the household hand tools commodity code with a marks and description with incorrect VIN numbers for all 4 vehicles listed.

I have also found incorrect VIN Numbers on the following shipment's marks and descriptions after

- NAM6047238
- NAM5993736B
- NAM5925709
- NAM6150781A

I'm not sure on the full situation of the above bills but they are from earlier in the year.

I have been in direct communication with a contact from the shipping party on the NAM6206412 bill in regards to the general order issue and it has just been placed on a 1H hold today after discussing the situation with CBP, who are aware of why the cargo was returned. However, since the customer has been painting this issue like an isolated mistake, I think the repeated history is particularly concerning. Additionally, the attached document was what the customer filled out by CBP request and was provided to me by the customer rather than CBP. I reached out to CBP directly to confirm the information and the 1H hold, but the information provided is interesting to note. Especially since on the import side, jet skis have not been discussed. Instead we have been discussing a non-compliant pickup truck.

If any additional information is needed from my end please let me know.

Thank you!

(Complainant's Appendix CX 296-297, 301.)

65. On September 13, 2023, the CMA CGM system indicated that NAM6150781B was showing a customs hold, which needed to be removed before they could continue with the re-export process. (Complainant's Appendix CX 169.)
66. On October 30, 2023, an internal CMA CGM email regarding Easy Shipping from Kailyn Davis to the legal department with a subject line of "Reporting Suspicious Activity on US Shipper" stated:

Good day Legal,

The customer completely dropped the issue on NAM6206412 after a significant amount of communication between us and CBP in order to get the container ready for pickup. It has been dwelling since though the customer knows the issue was resolved. Their other shipment in New York NAM6150781B has also been dwelling and the terminal is looking for updates on that one. I would typically follow up with the customer for both of these at this point in order to attempt to avoid abandonment procedures. However, after reviewing the issues with management I wanted to check back and make sure everything is okay to proceed.

Thank you!

(Complainant's Appendix CX 307.)

67. On December 12, 2023, Easy Shipping Corp. wrote the following letter to whom it may concern regarding NAM6150781B:

We would like to formally request an ABONDONMENT [sic] of container for booking NAM6150781B. This booking is currently on customer hold at the port and would prefer to avoid additional charges being added to this booking.

We are no longer in contact with the customer since the customer is no longer interested in the items this container leaving our company to request to stop and remove all charges on this container and remove or destroy or salvage the cargo on your company terms.

Our company is requesting to clear this request to stay on good faith with your company and move on forward with working with one another as we have been doing for the past years with no issues.

Thank you for your time and consideration regarding this issue.

(Complainant's Appendix CX 335.)

Value of USL's Cargo

68. Receipts show the following prices paid by USL to purchase the cargo: 2005 Toyota Tundra (VIN: 5TBKT42115S468135) - \$9,900.00; 2011 Kia Sorento (VIN: 5XYKT4A17BG175020) - \$4,500.00; 2012 Yamaha FX SHO (VIN: YAMA3067B212) - \$7,500.00; and 2006 Lexus GX 470 (VIN: JTJBT20XX60123772) - \$7,500.00. (Complainant's Answers to the Commission's Order for Supplemental Information directed to Complainant 16; Complainant's Appendix CX 124-127.)

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (F.M.C. May 10, 2006) (the Commission was obligated to hear allegations particular to the Shipping Act, even where the complainant has already obtained an arbitration award for related breach of contract claims); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (F.M.C. Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations).

The Commission has an obligation to address Shipping Act claims, even if the relevant facts may also give rise to other claims between the parties. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (F.M.C. Jan. 3, 2024). The Commission has jurisdiction over Shipping Act claims even if a related proceeding is underway. *Id.* Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant. *Id.* While breach of contract claims are resolved in court or as otherwise agreed by the parties, a claim for violation of the Shipping Act may only be resolved by the Commission.

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

B. Discussion

1. 46 C.F.R § 41102(c)

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Because section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries, to violate it, an entity must be a common carrier, marine terminal operator, or an ocean transportation intermediary within the meaning of the Shipping Act. The Shipping Act defines two types of ocean transportation intermediaries: “Ocean freight forwarders” and “non-vessel-operating common carriers.” 46 U.S.C. § 40102(19).

With respect to NVOCCs, Commission precedent establishes that an NVOCC violates predecessor statute section 10(d)(1) of the Act when they fail to fulfill NVOCC obligations. *Houben v. World Moving Services, Inc.*, 31 S.R.R. 1400, 1405 (FMC 2010); *Bimsha International v. Chief Cargo Services and Kaiser Apparel, Inc.*, 2013 WL 9808692 at *5 (FMC 2013) (citations omitted). Examples of actions or inactions that constitute the failure to fulfill NVOCC obligations include failure to make payments necessary to secure release of cargo, *Houben*, 31 S.R.R. at 1405 (FMC 2010); issuing an altered bill of lading containing false information, *Tractors and Farm Equipment Limited v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788 (ALJ 1992); and failure to pay applicable demurrage charges subjecting property of the shipping public to vessel operating common carrier’s liens, *Maritime Corporation v. Acme Fast Freight of Puerto Rico*, 17 S.R.R. 1655, 1662 (ALJ 1978), *aff’d* 18 S.R.R. 852 (FMC 1978).

A single shipment, however, is insufficient to establish a violation under § 41102(c). In this regard, the Commission has held that properly interpreted, and consistent with pre-2010 precedent, § 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis. 83 Fed. Reg. at 64479; 83 Fed. Reg. at 45369-70, 45372; see also 46 C.F.R.

§ 545.4(b). *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International, Inc.*, 2019 WL 118750 (FMC), 1 FMC 2d 262 (March 7, 2019).

The Commission also has long held that ocean freight forwarders are fiduciaries performing vital, sensitive functions, and who are required to observe the highest standards of behavior toward their principals, the shippers. *Nordana Line AS v. Jamar Shipping, Inc.*, 27 S.R.R., 233, 236 (ALJ 1995); 1995 WL 126281, at *6-7 (ALJ 1995). Freight forwarders are subject to this high standard of care and integrity because they are fiduciaries who are in unique positions of trust and are able to inflict harm on their clients and on the shipping public. *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788, 796 (ALJ 1992). A freight forwarder's breach of its fiduciary duty has been held to be sufficient to constitute a violation of section 10(d)(1). *Nordana Line AS*, 1995 WL 126281, at *5. It follows that a breach of fiduciary duty by a freight forwarder is sufficient to constitute a violation of § 41102(c).

2. Interpretive Rule

On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Pursuant to Rule 545.4, to establish a violation of § 41102(c), a complainant must demonstrate that: (1) the respondent is a regulated entity; (2) the claimed acts or omissions occurred on a normal, customary, and continuous basis; (3) the practice or regulation is connected with receiving, handling, storing, or delivering property; (4) the practice or regulation is unjust or unreasonable; and (5) the practice or regulation is the proximate cause of the claimed loss.

a. Regulated Entity

Section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries. The parties admit that Easy Shipping acted as both an

NVOCC and freight forwarder during the relevant time frame. (F of F 1 and 2.)¹⁴ As such, Easy Shipping is a common carrier as defined in 46 U.S.C. § 40102(19). Accordingly, Easy Shipping is a regulated entity, and the first element is met.

b. Normal, Customary, and Continuous Practice

With the enactment of the rule codified at 46 C.F.R. § 545.4, the Commission restored its interpretation of Section 41102(c) to its pre-2010 understanding and returned the Commission’s focus and priority to the activities of maritime regulated entities that generally affect the broader shipping public, 83 Fed. Reg. at 64,479, including that a party is liable only for acts or omissions occurring on a normal, customary, and continuous basis. *See Crocus Investments, LLC v. FMC*, 2022 WL 3012275, at *1 (D. D.C. 2022).

An example of the application of this understanding is found in the case of *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 187, 200-201 (Examiner 1964), *aff’d*, 8 F.M.C. 181 (FMC 1964). In that case, Stockton Elevators was a grain elevator that operated terminal facilities that in one instance charged a customer wharfage at less than the tariff rate. Additionally, with respect to five shipments in the spring and fall of 1961, Stockton Elevators charged the same customer the wharfage as set forth in the tariff but subsequently paid the customer an “allowance,” effectively defraying the wharfage. This conduct occurred in several months in the spring and fall of 1961, and all the shipments were transported in different voyages. The Commission not only found that this conduct was not unjust or unreasonable, but it also held that Stockton Elevators had not engaged in a “practice” within the meaning of section 17 of the Shipping Act of 1916, the predecessor of § 41102(c), stating “The essence of a practice is uniformity. It is something habitually performed and it implies continuity . . . the usual course of conduct.” Rather, the Commission found the six instances constituted an “occasional transaction.” *Id.* at 201.

The Commission’s current understanding of what constitutes regulations and practices is in accord with the pre-2010 requirements. In *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International, Inc.*, 2020 WL 5406762, at *5 (FMC 2020), the Commission affirmed the ALJ’s initial decision on remand that complainant had failed to meet its burden of proof to establish a normal, customary, and continuous practice of releasing shipments without the original bill of lading despite finding that practice unreasonable. In making this determination, the ALJ found that releasing three shipments of one shipper to one consignee over two months did not appear to be customary based on the finding that it was not normal because respondent’s employee had been induced to do so.

In this case, USL seeks reparations for alleged violations of the Shipping Act related to a single shipment of one container from Savannah, Georgia to El Khums, Libya on April 24, 2023, which was subsequently returned to Savannah, Georgia due to a misdeclaration on the bill of lading. (F of F 23.) There is insufficient proof to establish that Easy Shipping engaged in unreasonable practices or regulation on a normal, customary, and continuous basis.

¹⁴ “F of F” refers to the Findings of Fact in this decision and is followed by the referenced paragraph number.

With respect to the allegation that Easy Shipping made a misdeclaration in the shipping instructions, the record shows CMA CGM determined that in 2023 Easy Shipping provided incorrect VIN numbers for the shipment at issue and the shipment identified as NAM6150781B, and also provided incorrect VIN numbers earlier the same year with respect to the following four other containers: NAM6047238; NAM5993736B; NAM5925709; NAM6150781A. (F of F 66 and 67.) Limited evidence has been provided regarding the relevant details of the alleged additional violations. Although the record shows that Easy Shipping engaged in suspicious activity sufficient for CMA CGM to determine that further inquiry was warranted, there is no information concerning the findings of any inquiry into Easy Shipping's declaration practices. Moreover, the record only includes evidence of five other shipments in which the bills of lading prepared by Easy Shipping had discrepancies with respect to VIN numbers, that is a total of six shipments with VIN errors. This is the same number of shipments at issue in *Stockton Elevators* in which the Commission found the six instances constituted an "occasional transaction" rather than a regular practice. 8 F.M.C. at 201.

With respect to the allegation that Easy Shipping failed to file a declaration for a returned container and failed to pay assessed fees, there is insufficient competent evidence to establish that events alleged herein are anything more than an isolated incident. With respect to Easy Shipping's other allegations of unreasonable practices, there is no evidence that any of them occurred on a regular basis. As such, the undersigned finds that the record does not establish that the alleged violations occurred on a normal, customary, and continuous basis in accordance with Rule 545.4(c). Accordingly, the second element has not been satisfied.

c. Connected with Receiving, Handling, Storing, or Delivering Property

The disputed charges were imposed as part of Easy Shipping's handling of USL's cargo for shipment from Savannah, Georgia to El Khums, Libya. Thus, the third element is met.

d. Unjust and Unreasonable

The Commission has stated that "[t]he test of reasonableness" for practices is that "the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view." *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, 2014 WL 7328475, at *9 (FMC 2014) (quoting *W. Gulf Mar. Ass'n v. Port of Hous. Auth.*, 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC 1978), *aff'd without opinion sub nom. W. Gulf Mar. Ass'n. v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979), *cert. denied*, 449 U.S. 822 (1980)).

USL alleges that Easy Shipping engaged in unjust and unreasonable practices and regulations by inaccurately declaring the shipment instructions, not filing a declaration of returned container, and not paying assessed fees on time. (Complaint Causes of Action ¶¶ 1, 5, 6.)

With respect to the violation alleged with respect to inaccurate shipping instructions, the dock receipt and certificates of title show that the cargo consisted of the following three vehicles and one personal watercraft: 2005 Toyota Tundra (VIN: 5TBKT42115S468135); 2011 Kia Sorento (VIN: 5XYKT4A17BG175020); 2012 Yamaha FX SHO (HIN: YAMA3067B212); and 2006 Lexus GX 470 (VIN: JTJBT20XX60123772). (F of F 9 and 12.) The record shows that all

four cargo items were loaded onto the container at issue in this proceeding. (F of F 10.) The record also shows that Easy Shipping inaccurately listed the cargo on the bill of lading as follows: 2017 Toyota 4Runner instead of a 2005 Toyota Tundra and a 2017 YAMAHA FX instead of 2012 FX SHO YAMAHA, identifying the cargo on the bill of lading as follows: 2017 Toyota 4Runner, VIN:5TBKT42115S468135; 2017 KIA SORENTO, VIN:5XYKT4A17BG175020; 2017 YAMAHA FX, VIN:YAMA3067B212; 2018 LEXUS GX 470, VIN:JTJBT20XX60123772. (F of F 49.)

Title 46 C.F.R. § 515.31(e) mandates that NVOCCs must exercise due diligence to ensure the accuracy of all documents and information related to their shipments. This includes correctly describing cargo, timely payment of freight charges, and proper issuance of bills of lading. The record shows that Easy Shipping failed to exercise due diligence in the preparation of the bill of lading for the shipment at issue because it listed cargo other than that shown on the dock receipt and certificates of title/vessel provided by USL. Commission precedent establishes that the preparation of an inaccurate bill of lading by an NVOCC is an unreasonable practice. *Tractors and Farm Equipment Limited v. Cosmos Shipping Co., Inc.* 26 S.R.R. 788, 796 (ALJ 1992) (freight forwarder violated section 10(d)(1) by preparing incorrect documents, including an altered bill of lading); *Nordana Line AS v. Jamar Shipping, Inc.*, 27 S.R.R., 233, 236 (ALJ 1995); 1995 WL 126281, at *6-7 (ALJ 1995) (freight forwarder's failure to pay shipper's money to carrier and instead using money for self was found to be violation of 10(d)(1)). For this reason, Easy Shipping's preparation of an inaccurate bill of lading constitutes an unreasonable practice.

With respect to the violation alleged for the failure to file a declaration of returned container, USL alleges in its complaint that Easy Shipping failed to file a declaration of the returned container causing the returned container to go to inspection and fees to be assessed in the amount of \$2,306. (Complaint Causes of Action ¶ 5; Complaint Memorandum of Facts ¶¶ 22 and 23.) The record shows that the returned container was inspected and inspection fees in the amount of \$2,306 were assessed. (F of F 37, 41.) Easy Shipping does not deny that it failed to file a declaration of returned container, and the fact that the returned container was inspected supports a finding that Easy Shipping did not file a declaration for the returned container.

Title 19 C.F.R. § 149.2(a) requires the ISF Importer or agent to submit an Importer Security Filing. Pursuant to 19 C.F.R. § 149.1, the ISF Importer means "the party causing goods to arrive within the limits of a port in the United States by vessel," and for other than foreign cargo remaining on board will be the good's owner, purchaser, consignee, or agent. The record shows that the cargo was returned to the United States due to the misdeclaration by Easy Shipping. (F of F 49, 51.) Thus, Easy Shipping caused the goods to arrive within the limits of a port in the United States, and was required to file the declaration of returned cargo but did not do so. This failure caused the container to be processed as a new shipment rather than returned cargo and subjected to inspection charges. The parties admit that Easy Shipping acted as both a NVOCC and freight forwarder with respect to the shipment. (F of F 1.) As a freight forwarder, Easy Shipping is subject to a high standard of care and integrity because it is a fiduciary who is in unique position of trust and able to inflict harm on its clients and the shipping public. *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788, 796 (ALJ 1992).

Easy Shipping's failure to file the required Importer Security Filing beached its duty of care to USL to ensure that its cargo would be delivered without additional costs and delay and constitutes an unreasonable practice. *See Tampa Bay Int'l Terminal, Inc. v. Coler Ocean Independent Lines Co.*, 28 S.R.R. 1390 (2000), 2000 WL 359780 (ALJ 2000) (NVOCC's fraudulent inducement failure to make payments per agreement constitutes violation of § 10(d)(1)); *Nordana Line AS v. Jamar Shipping, Inc.*, 27 S.R.R., 233, 236 (ALJ 1995); 1995 WL 126281, at *6-7 (ALJ 1995) (freight forwarder's failure to pay shipper's money over to carrier found to be a violation of § 10(d)(1)).

With respect to the violation alleged for the failure to timely pay assessed fees, the record shows that Easy Shipping underpaid by \$310.52 the basic freight charges on the returned container invoice dated May 31, 2023, in the amount of \$4,300.52 despite that USL paid Easy Shipping \$4,300 in installments on July 17, 18, and 19, 2023, resulting in the container being held.¹⁵ (F of F 27, 30, 38.) It also shows that USL's cargo was subjected to the carrier's cargo lien because Easy Shipping failed to pay demurrage and detention charges. (F of F 45.) These non-payments constitute a violation of Easy Shipping's duty as an NVOCC as well as an unreasonable practice. *See Houben*, 31 S.R.R. at 1405 (FMC 2010) (violation under section 10(d)(1) found when an NVOCC fails to fulfill its obligations); *Corpco Int'l. Inc. v. Straightway, Inc.*, 28 S.R.R. 296, 300 (FMC 1998), 1998 WL 940257 (FMC 1998) (violation found where NVOCC refused to pay certain additional charges to the ocean carrier forcing shipper to pay these charges in order to retrieve the cargo); *Maritime Corporation*, 17 S.R.R. at 1662 (violation found where NVOCC failed to pay applicable demurrage charges subjecting cargo to the vessel operating common carrier's liens). The non-payment also constitutes of Easy Shipping's breach of duty of care as a freight forwarder. *Nordana Line AS v. Jamar Shipping, Inc.*, 27 S.R.R., 233, 236 (ALJ 1995); 1995 WL 126281, at *6-7 (ALJ 1995).

With respect to the allegation that Easy Shipping failed to nominate a shipper or consignee for the return shipment, the record shows that it failed to take any action with respect to the returned shipment but rather that it dwelled at port after the inspection was concluded despite a request by CMA CGM for a local consignee. (F of F 28, 29, 45). This is a violation of Easy Shipping's duty as an NVOCC to arrange for inland transportation in accordance with 46 C.F.R. § 515.2(K)(6).

Based on Easy Shipping's multiple breaches of its duty to USL as an NVOCC and freight forwarder as set forth above, the fourth element has been met.

e. Proximate Cause of Claimed Loss

The proximate cause of an injury is the primary moving cause without which it would not have been inflicted, but which, in the natural and probable sequence of events and without the

¹⁵ Although Easy Shipping contends that it did not fully pay the return freight invoice because it was waiting on the remaining balance to be paid from USL, the record does not support this contention. (Respondent's Answers to the Commission's Order for Supplemental Information directed to Respondent 15.) Rather, the record shows that USL paid Easy Shipping in full for the charges on the May 31, 2023, invoice in installments made July 17 to July 19, 2023. (F of F 27, 30.)

intervention of any new or independent cause, produces the injury. *City of Winona v. Botzet*, 169 F. 321, 328 (8th Circuit 1909.)

The record shows that Easy Shipping was advised that the container was being returned to Savannah, Georgia due to the misdeclaration of cargo on the bill of lading prepared by Easy Shipping in which a 2005 Toyota Tundra pickup truck was inaccurately described as a 2017 Toyota 4Runner. (F of F 23.) Ultimately, the ocean common carrier determined that the container included two prohibited items for import to Libya, namely the Toyota Tundra and Jet Ski. (F of F 15, 23.) As a result of the misdeclaration on the bill of lading, USL incurred a misdeclaration fee of \$2,000 and a late payment fee of \$75. (F of F 23, 41.) As a result of the presence of the prohibited Toyota Tundra, USL incurred charges in the amount of \$4,310.52 for the container's return. (F of F 27.) As a result of Easy Shipping's failure to file a declaration of the returned container, USL incurred charges in the amount of \$2,306 for the inspection of the returned container. (F of F 37.) As a result of Easy Shipping's failure to pay basic freight fees, return container fees, and inspection fees, the cargo idled in the port of Savannah from July 8, 2023, through September 25, 2023, and was subjected to demurrage and detention charges in the amount of \$26,130 for that period. (F of F 44.) Demurrage fees in the amount of \$37,250 and storage fees in the amount of \$46,845 continued to accumulate for a total of 150 days, and by letter dated November 29, 2023, the ocean common carrier stated that it would take all necessary action under the cargo lien if the outstanding charges were not paid within 7 days. (F of F 45.) Thereafter, USL claims to have lost all of its cargo valued at \$29,400, presumably through foreclosure of CMA CGM's cargo lien. (F of F 45, 68.)

Although the record establishes that Easy Shipping violated its duty as an NVOCC and freight forwarder to USL on numerous occasions with respect to the shipment at issue, the question remains as to whether these lapses were the proximate cause of the losses sustained by USL. A close reading of the record suggests that they were not. Rather, the record supports a finding that USL and Easy Shipping colluded to ship restricted items to Libya, and that the losses suffered by USL proximately flowed from USL's initial decision to ship prohibited items to Libya. There is no doubt that Easy Shipping intentionally misdeclared the cargo on the bill of lading as the dock receipt and vehicle titles received from USL clearly show that the cargo included a Toyota Tundra and Jet Ski, both of which are prohibited from import to Libya. Notably, Easy Shipping offers no explanation for why two of the four items in the container were listed by it on the bill of lading as something other than they actually are. An inference that Easy Shipping intentionally acted in an attempt to evade import restrictions arises from the fact that: (1) the bill of lading correctly reported the two non-prohibited items and only inaccurately reported the two prohibited items, and this did not reasonably result from a scrivener's error because the erroneous entries are vastly different than the actual cargo (4Runner instead of Tundra and Motorcycle instead of Jet Ski); and (2) the title document for the Jet Ski is a Certificate of Title for Vessel with an HIN that explicitly identifies it as a personal watercraft, (F of F 9), and, as such, could not reasonably have been understood by Easy Shipping to be a motorcycle.

Although USL contends that it was unaware of the import restrictions until the prohibited items were returned, the record supports a finding that it was complicit in a scheme to import prohibited items. As an initial matter, Easy Shipping declared under oath that USL knowingly

ships prohibited items because it is lucrative to do so. (Respondent's Answers to Commission's Order for Supplemental Information directed to Respondent 10.) Additionally, the record contains evidence creating a reasonable inference that USL knowingly shipped items prohibited from import to Libya. First, after the ocean common carrier advised Easy Shipping on April 26, 2023, that the cargo included a prohibited Jet Ski and requested a photograph to confirm the commodity, USL sent an email to Easy Shipping on April 28, 2023, containing photos of a motorcycle with the statement "wheels and tires may be off," offering without being asked to do so an explanation as to why there may be confusion as to the nature of the cargo. (F of F 15-20.) Although USL alleges that it sent the photos to address another shipment, this is not plausible. First, USL does not identify the other shipment for which it claims the photos were provided, which suggests it is not able to do so. Second, the timing of the email – just two days after Easy Shipping was notified of the prohibited cargo – supports a finding that it was sent in response to the inquiry by the ocean common carrier related to the shipment at issue. Third, the Certificate of Title for Vessel that USL sent to Easy Shipping on April 20, 2023 – before the cargo was shipped on April 24, 2023 – identifies the 2012 Yamaha as a personal watercraft and contains a HIN. (F of F 9.) Thus, the course of conduct evidences a consciousness of guilt and shows that USL was aware that it was shipping a prohibited item to Libya and sent photos of a motorcycle with the comment "wheels and tires may be off" in an effort to convince the ocean common carrier that the container was loaded with a motorcycle rather than a prohibited Jet Ski. (F of F 18.)

Second, USL acted similarly with respect to the second prohibited item, namely the Toyota Tundra truck. In this regard, when the ocean common carrier advised Easy Shipping on May 11, 2023, of a misdeclaration because the shipping instructions showed that a 2017 Toyota 4Runner was loaded but the VIN number indicated that the vehicle is a 2005 Toyota Tundra pickup truck, USL responded on the same date, stating: "There must be a typo in the loading plans. Returning proceed [sic] will cost a lot. Can we ship this to the destination since it's on the way and I will request a Vin# update/correction for this 4Runner," and providing the following information directly below the message: 2017 Toyota 4Runner VIN: JTEBU5JR0H5408127. (F of F 24.) As with the prohibited Jet Ski, there is no doubt that USL was aware at the time of loading that the cargo included a 2005 Toyota Tundra because the dock receipt and certificate of title it provided to Easy Shipping both show it to have been loaded on the container. (F of F 9 and 12.) Thus, the only reasonable explanation for USL stating that there was a typo in the loading plans and providing a VIN number for a Toyota 4Runner is that it was aware that the Tundra was prohibited and was working with Easy Shipping to convince the ocean common carrier otherwise.

Third, USL's booking request described the two non-prohibited items by their year, make, and model as shown on the certificates of title/vessel it provided to Easy Shipping, but described both prohibited items generically in a manner consistent with an effort to create plausible deniability as to the contents of the cargo. In this regard, USL's booking request lists the cargo to be shipped as: 2011 Kia Sorento; 2006 Lexus GX470; 2005 Toyota T; and Yamaha Cruiser. (F of F 6.) It is notable that that the use of "Toyota T" could be read to describe a Toyota Tercel passenger vehicle rather than the banned Tundra truck. Similarly, the use of "Yamaha Cruiser" could be read to describe a passenger vehicle as opposed to a Jet Ski. The fact that only the two banned items contained generic model descriptions while the non-banned items

were described precisely suggests that USL knew the items were banned and acted in a fashion to conceal that fact.

This record supports a finding that the proximate cause of USL's damages is its knowing shipment of prohibited items to Libya because it is the act without which damages would not have been inflicted, but which, in the natural and probable sequence of events and without the intervention of any new or independent cause, produced the injury. *City of Winona*, 169 F. at 328. Thus, the fifth element has not been satisfied.

3. 46 C.F.R § 41104(a)(3)

Prior to the enactment of the Ocean Shipping Reform Act of 2022 ("OSRA 2022") on June 16, 2022, 46 U.S.C. § 41104(a)(3) provided that "a common carrier, either alone or in conjunction with any other person, directly or indirectly, may not -... retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodation when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason." 46 U.S.C. § 41104(a).

OSRA 2022 amended the Shipping Act's retaliation provisions by expanding its reach to marine terminal operators and ocean transportation intermediaries, and adding the prohibition against retaliation to 46 U.S.C. § 41102, "General Prohibitions" as new subsection (d). Concurrently, OSRA 2022 amended 46 U.S.C. § 41104(a)(3) to read "unreasonably refuse cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods." OSRA 2022, Pub. L. 117-146, June 16, 2022, 136 Stat 1272, §§ 5, 7.

46 U.S.C. § 41104(a)(3) currently provides: A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not – unreasonably refuse cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods.

In this case, the complaint is devoid of factual allegations and there is no credible evidence supporting a claim that Easy Shipping unreasonably refused USL cargo space accommodations when available or resorted to other unfair or unjustly discriminatory methods. USL's only discussion of the basis of its claim that Easy Shipping violated 46 U.S.C. § 41104(a)(3) was made in response to the request for supplemental information, in which it stated the following in response to a request to set forth the material facts in support of its claim that Easy Shipping refused cargo space or engaged in unfair or unjust discrimination: "Respondent engaged in discriminatory practices by underpaying the return basic freight invoice (#NAOB0367804) by \$310.52, delaying the release of the container. Respondent's actions demonstrate an intent to exploit what they perceived as Complainant's lack of knowledge of U.S. laws and the assumption that Complainant, being foreign, would accept such treatment as an unavoidable act of God and not seek justice. This behavior reflects a deliberate disregard for Complainant's rights and an abuse of their position as a service provider."¹⁶ Supporting

¹⁶ In *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, the Commission found that the respondent had engaged in knowing and willful violations of the Shipping Act by refusing to deal with the complainant and retaliating against them, in violation of 46 U.S.C. § 41104(a)(3). This case

documents include (Ex. K, CX_109), which demonstrates the underpayment and its impact on the container's release.” (Complainant's Answers to the Commission's Order for Supplemental Information directed to Complainant 3.) Thus, USL appears to be arguing that Easy Shipping resorted to unfair or unjustly discriminatory methods by treating its principal differently because he is a foreigner. In the absence of well pleaded facts in the complaint or evidence to support USL's bald allegation, the undersigned finds that the record does not support a violation under 46 C.F.R § 41104(a)(3).

4. Sanctions

USL argues that sanctions should be imposed against Easy Shipping for its alleged bad faith conduct, misrepresentations, and attempt to mislead the Commission. The Commission and its ALJs have the authority to impose sanctions on parties who act in bad faith to delay or otherwise interfere with proceedings before the Commission. *See Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 2018 WL 2113084, *7 (F.M.C. May 2, 2018) (“Like other federal tribunals, the Commission also has inherent authority to control the proceedings and sanction misconduct when appropriate.”) Despite this inherent authority, the undersigned finds that the record here does not support the imposition of sanctions. In this regard, there is insufficient credible evidence that Easy Shipping made intentional misrepresentations with bad faith intent. In the absence thereof, the undersigned finds that rendering a decision on the merits is preferable to summary disposition. Additionally, there is no prejudice to USL in the form of undue delay by rendering a decision on the merits. Although the record shows that Easy Shipping repeatedly failed to comply with scheduling deadlines, it ultimately submitted sufficient documentation to reach a decision on the merits. Moreover, USL recently requested the reopening of discovery based on newly discovered evidence, and the scheduling deadlines were extended to accommodate USL's request to serve a subpoena out of time and file a supplemental brief. Based on this record, the undersigned finds that Easy Shipping's actions did not prejudice USL and the imposition of sanctions is not warranted.

5. Reparations

The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). Because no violation of the Shipping Act has been established, USL is not entitled to reparations.

6. Motion for Prejudgment Interest

46 C.F.R. § 502.253 specifies how the Commission calculates interest in complaint proceedings. It provides:

Except as to applications for refund or waiver of freight charges under § 502.251 and claims which are settled by agreement of the parties, and absent fraud or misconduct of a party, interest granted on awards of reparation in complaint

underscores the FMC's commitment to addressing discriminatory practices and ensuring fair treatment in shipping transactions. *See OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Docket No. 1967(I), Initial Decision (Dec. 15, 2020).

proceedings instituted under the Shipping Act of 1984 will accrue from the date of injury to the date specified in the Commission order awarding reparation. Compounding will be daily from the date of injury to the date specified in the Commission order awarding reparation. Normally, the date specified within which payment must be made will be fifteen (15) days subsequent to the date of service of the Commission order. Interest shall be computed on the basis of the average monthly secondary market rate on six-month U.S. Treasury bills commencing with the rate for the month that the injury occurred and concluding with the latest available monthly U.S. Treasury bill rate at the date of the Commission order awarding reparation. The monthly secondary market rates on six-month U.S. Treasury bills for the reparation period will be summed up and divided by the number of months for which interest rates are available in the reparation period to determine the average interest rate applicable during the period.

Because no violation of the Shipping Act has been established, USL is not entitled to prejudgment interest. Accordingly, USL's motion for prejudgment interest is denied.

7. Motion for Summary Judgment

Complainant's Renewed Motion for Summary Judgment is denied on the grounds that: 1) a genuine issue of material fact exists, including but not limited to whether or not Easy Shipping engaged in unreasonable practices on a normal, customary, and unreasonable basis; and 2) it has been rendered moot by this initial decision.

8. Conclusion

Complainant's claim fails because it has not established that Respondent engaged in any unreasonable regulation or practice on a normal, customary, and continuous basis regarding a failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering property arising from: a misdeclaration in the shipping instructions; a failure to file a declaration for a returned container; and a failure to pay assessed fees, or that such unreasonable practice was the proximate cause of Complainant's damages. Accordingly, Complainant failed to meet its burden to establish a violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4. A violation under § 41104(a)(2)(A) was not alleged in the complaint, is not at issue, and is deemed to have been waived by Complainant because it was not addressed in its brief. Complainant has not met its burden to establish a violation of 46 U.S.C. § 41104(a)(3). Complainant abandoned its argument under 46 U.S.C. § 520.11 and has not met its burden to establish a violation under this provision. For these reasons, Respondent is found not to have violated the Shipping Act and is not liable for reparations.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that Complainant's Complaint be **DENIED**. It is

FURTHER ORDERED that Complainant's renewed motion for summary judgment is **DENIED**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**.

Mary A. Hervey -S Digitally signed by Mary A.
Hervey -S
Date: 2025.04.16 10:36:19 -04'00'

Mary Apostolakos Hervey
Administrative Law Judge